

1.2 OPPORTUNITY COST

Multiple Choice Questions

1990/CE/II/01

Tommy was asked to choose one birthday present from the following three things: a model spaceship, a walkman and a jacket. He liked the model spaceship the most and the walkman second. What would be his opportunity cost if he chose the model spaceship?

- A. a walkman
- B. a walkman and a jacket
- C. the price of a model spaceship
- D. no opportunity cost since it was a present

1991/CE/II/02

Susan is choosing between two jobs: being a teacher and being a singer. If she chooses to be a singer, her opportunity cost will include

- A. the income from being a teacher.
- B. the income from being a singer.
- C. the tuition fee she paid for her training as a teacher.
- D. the tuition fee she paid for her training as a singer.

1992/CE/II/03

Which of the following are opportunity costs of attending school?

- (1) school fees
 - (2) income forgone
 - (3) poor examination results
 - (4) expenditure on dinners
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (4) only
 - D. (3) and (4) only

1993/CE/II/02

Mr. Wong could spend two hours at a concert or tutoring a student at \$60 per hour. He could use the time on painting instead and earn a total of \$150. If the price of the concert ticket is \$300, what is the opportunity cost of his choice of going to the concert?

- A. \$150
- B. \$300
- C. \$420
- D. \$450

Microeconomics by Topic

I. Basic Concepts

1994/CE/II/03

Mr. Lee owns a photographic studio. Previously he received \$30 000 per month by letting it out. He now does not let the studio, but, instead he uses the premises for his own business. He also employs a model at \$10 000 per month.

What is Mr. Lee's opportunity cost of using the studio by himself?

- A. \$10 000 per month
- B. \$20 000 per month
- C. \$30 000 per month
- D. \$40 000 per month

1994/CE/II/14

Mrs Wong retired last year. Since then she has been helping to do the housework in her daughter's house and receiving no money in payment for it. The daughter works as an accountant in her own accounting firm. Which of the following statements is correct?

- A. Although Mrs Wong receives no money in payment, her service is counted in the national income.
- B. As Mrs Wong receives no money in payment, she is not classified as a producer.
- C. To the daughter, the opportunity cost of working as an accountant is lower than that of staying at home just doing her housework.
- D. To avoid double counting, the daughter's profits from her firm are not counted in the national income.

1995/CE/II/05

Fanny can choose among three different jobs. Her choice of preference is as follows:

First priority:	being a teacher in School X
Second priority:	being a secretary in Company Y
Third priority:	being a sales representative in Firm Z

Assuming her choice of preference remains unchanged, which of the following will increase Fanny's opportunity cost of being a teacher in School X?

- A. The students in School X are becoming more naughty.
- B. Company Y requires its secretaries to work longer hours.
- C. Company Y decides to increase the salaries of its secretaries
- D. Firm Z decides to increase the bonuses for its sales representatives.

1996/CE/II/01

John lives in his own apartment which is worth \$ 1 million. He can sell the apartment and put the money in a bank at an interest rate of 5% per year. He can also rent out the apartment at \$ 5 000 a month. What is the opportunity cost to John if he decides to live in the apartment?

- A. \$ 1 million
- B. \$ 50 000 a year
- C. \$ 5 000 a month
- D. There is no opportunity cost because he lives in his own apartment

Answer Questions 2 and 3 by referring to the following information:

Max Department Store has launched a promotion campaign. For every purchase of \$1000, customers are given a coupon to exchange for the following gifts:

Number of Coupons	Gifts
10	1 camera
20	1 TV set
30	1 air ticket

1997/CE/II/02

John has accumulated 30 coupons. What is the opportunity cost to John if he uses them to exchange for one air ticket?

- A. a TV set
- B. \$30 000
- C. a camera and a TV set
- D. a camera, a TV set and \$30 000

1997/CE/II/03

Later, John finds that he has to queue up to exchange his coupons for gifts. The queue shows that

- A. these gifts are truly free of charge.
- B. there is a shortage of gifts for all the customers.
- C. the promotion campaign is successful and there is an increase in the demand for the company's products.
- D. customers has an extra cost to obtain the gift.

1997/CE/II/49

Before the sale of a big residential estate, many elderly people queued up outside the site office for potential buyers. This implies that

- A. the value of the flats to these elderly people was higher than to young people.
- B. the price of the flats was above the equilibrium level because there was a shortage.
- C. the opportunity cost of the queuing time of these elderly people was lower than that of the potential buyers.
- D. the opportunity cost of the queuing time of these elderly people was zero because they did not have a job.

1998/CE/II/50

May is considering accepting one of the following job offers: (1) a clerk in an import-export firm, and (2) a salesgirl in a department store. Which of the following changes will NOT affect her opportunity cost of choosing to work as a clerk?

- A. The import-export firm increases its staff's welfare.
- B. The department store offers a higher salary.
- C. There is third offer paying a higher salary than the original two offers.
- D. The department store announces that their business will terminate one year later.

1999/CE/II/50

Peter invites Jason to play tennis in the afternoon. Jason will NOT have opportunity cost if

- A. Peter pays the fee for him.
- B. He has nothing more worthwhile to do in the afternoon.
- C. He likes playing tennis with Peter.
- D. None of the above is a correct answer.

2000/CE/II/02

Chan and Wong take a journey to City X separately. They can go there either by Plane or by train. The plane takes 2 hours while the train takes 10 hours. The air ticket costs \$1 000 while the train fare is \$200. During the journey to City X, the foregone earning of Chan is \$200 per hour and that of Wong is \$80 per hour.

For the journey to City X, Chan would take the _____ and Wong would take the _____.

- A. train train
- B. train plane
- C. plane train
- D. plane plane

2000/CE/II/53

Which of the following is **NOT** an opportunity cost of constructing Disneyland in Hong Kong?

- A. The alternative use of the site
- B. The amount of capital invested
- C. The pollution created by the construction work
- D. The entrance fee of Disneyland.

2001/CE/II/01

Which of the following will change the cost to an individual of attending a concert?

- A. He is an hour late for the concert due to traffic congestion.
- B. His view is blocked by the audience in front of him.
- C. The singer performs badly.
- D. The concert overruns by an hour.

2002/CE/II/04

Which of the following would affect the cost of constructing the West Rail?

- A. an increase in the damage to the natural environment along the railway caused by the construction
- B. an increase in the wages of the maintenance staff for the operation of the train service
- C. a decrease in the profit from providing the train service
- D. a decrease in the revenue of the bus company operating a bus service along the railway

2003/CE/II/02

Peter is an F.5 graduate who could not get a study place in F.6. Which of the following may lower the cost of repeating F.5 for Peter?

- A. The tuition fee for study in F.5 increases.
- B. The tuition fee for study in F.6 decreases.
- C. The wage rate for F.5 graduates decreases.
- D. Peter's new F.5 English teacher teaches badly.

2003/CE/II/03

Medical doctors seldom change their occupation. Which of the following can explain this phenomenon?

- A. They have spent much time and effort in getting their professional licence.
- B. They have incurred high costs in accumulating the skills and knowledge required for the profession.
- C. For medical doctors, changing occupation has a high cost.
- D. Being medical doctors has a high cost.

2004/CE/II/02

Which of the following statements about the concept of opportunity cost is correct?

- A. Opportunity cost still exists even when there are no choices.
- B. Opportunity cost does not exist in a planned economy.
- C. When the value of an option decreases, the opportunity cost of choosing that option does not change.
- D. When the value of the highest-valued option increases, the opportunity cost of choosing that option will decrease.

2005/CE/II/03

David is choosing between two ways of spending his summer vacation: to take a summer job or to join an exchange programme to the United Kingdom. Which of the following will increase his opportunity cost of taking the summer job?

- A. The fee for the exchange programme increases.
- B. The summer job pays a higher salary.
- C. A valuable course is added to the exchange programme.
- D. Less training for the summer job is provided.

2006/CE/II/02

Every July of the Lunar calendar, many charity organizations distribute packs of rice to people free of charge. Those who spend a lot of time queuing up for this rice are mostly elderly people.

In the above case, the elderly rather than the young people would spend time queuing up for these packs of charity rice because

- A. it is a tradition to queue up for this rice.
- B. the elderly prefer rice to other kinds of food.
- C. the elderly are poorer than the young people.
- D. the elderly value their best choice of other activities less than that of the young people.

2007/CE/II/02

A resident of Mainland China is choosing between a tour to Hong Kong and a tour to Macau organized by a travel agent. His opportunity cost of choosing to visit Hong Kong will increase if

- A. the food provided during his trip in Hong Kong is poorer than expected.
- B. he is abandoned on the streets in Hong Kong by the tour guide.
- C. newly developed tourist attractions in Macau make it more enjoyable to visit Macau.
- D. the rental of hotel accommodation in Macau increases.

2008/CE/II/02

Which of the following could raise the cost of drug abuse?

- A. The price of drugs increases.
- B. The government imposes heavier punishments on drug abuse.
- C. Drug abuse causes greater damage to one's health.
- D. All of the above are correct.

2009/CE/II/02

Which of the following situations will increase the opportunity cost to Form 7 graduates of receiving a university education?

- (1) The university undergraduate programme increases from 3 years to 4 years.
 - (2) The wage rate of Form 7 graduates increases.
 - (3) The academic performance of university graduates generally declines.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2010/CE/II/02

Julie is choosing between Hong Kong and the US to complete her university education. Her opportunity cost of studying in the US will increase when

- A. the number of scholarships offered by the universities in the US increases.
- B. the tuition fee of the universities in Hong Kong increases.
- C. the university graduates of Hong Kong become less competitive in the job market than those of the US.
- D. the standard of professional training programs offered by the universities in Hong Kong improves.

PP/DSE/I/02

Mr. Chan spent \$5 000 on buying a new mobile phone which can be sold for \$7 000 in the second-hand market. Mr. Chan's cost of keeping the mobile phone is _____.

- A. \$0
- B. \$2 000
- C. \$5 000
- D. \$7 000

2012/DSE/I/02

Mr Kwok plans to purchase a new racing car from a German automobile manufacturer and drive the car in Hong Kong. In which of the following situations will the cost of purchasing the racing car increase?

- A. The first registration fee increases.
- B. The price of gasoline increases.
- C. The Euro depreciates against the Hong Kong dollar.
- D. The racing car performs poorly.

2013/DSE/I/02

Jeremy is going to watch a tennis match in which Li Na (李娜), a Grand Slam (大滿貫) winner, will play. Which of the following will increase the cost to Jeremy of watching the tennis match?

- A. He is 30 minutes late for the match due to traffic congestion.
- B. His view is blocked by the spectators in front of him.
- C. Due to a rainstorm, the match is extended by an hour.
- D. Li Na is injured and does not show up for the match.

2014/DSE/I/01

A famous football team, Manchester United, visited Hong Kong for a friendly match. The day before the match, the team found the pitch in the Hong Kong Stadium had been damaged by prolonged rain and it considered cancelling the match. The opportunity cost for Manchester United to continue playing in such a poor pitch would _____ because _____.

- A. increase there was a higher chance for the players to get injured
- B. increase the team was likely to have poor performance
- C. remain unchanged the expense on the visit to Hong Kong had already been paid
- D. remain unchanged the players spent the same amount of time in Hong Kong

2015/DSE/I/02

David can choose to take the MTR or a bus to Yuen Long. Suppose the required travel time and the fares of both options are the same in a normal situation. Which of the following will result in an increase in the opportunity cost of travelling to Yuen Long by MTR?

- A. The air-conditioner on the bus is out of order.
- B. The traffic jam makes the bus trip 15 minutes longer.
- C. A signalling problem causes the travel time of the MTR to increase by 15 minutes.
- D. David feels annoyed about the news broadcast in the MTR train.

2016/DSE/I/03

Mr Ng, a Hong Kong citizen, is going to travel to Tokyo for leisure. Which of the following will decrease his cost of having the trip?

- A. A typhoon is approaching Tokyo right before his trip.
- B. His boss is going to treat all the staff to a free buffet during his leave.
- C. The scenery in Tokyo is better than he expected.
- D. Japanese Yen depreciates against other currencies.

2017/DSE/I/04

Which of the following would be the loss(es) of delaying the completion of a new railway to an economy?

- (1) the travel time of passengers that would have been saved by the new railway during the period of delay
 - (2) the damage to the corporate image of the railway constructor for the delay
 - (3) the nuisance to the shops and residents nearby during the period of delay
- A. (1) only
 - B. (2) only
 - C. (3) only
 - D. (1), (2) and (3)

2018/DSE/I/03

John, a Secondary 6 graduate, is considering studying a programme either in Hong Kong or the Mainland. Which of the following situations would lower his opportunity cost of studying the programme in Hong Kong?

- (1) His tuition fee of the first year will be waived if he studies the programme in Hong Kong.
 - (2) The graduates of the Mainland programme have better job prospects.
 - (3) The qualification of the Mainland programme may not be recognised in Hong Kong.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2019/DSE/I/03

Mr Lo spent \$60 000 on buying a second hand car three years ago. Suppose he can resell the car at \$2000. Alternatively, he needs to spend \$5 000 on repairing the car before he can continue to use it. What is his cost of continuing to use the car?

- A. \$2000
- B. \$5000
- C. \$7000
- D. \$60000

2020/DSE/I/10

Alfred booked a room in a resort hotel. Later he found that Betty had booked a room in the same hotel at a lower price. Which of the following are possible reasons for such a price difference?

- (1) Alfred's booking was non-refundable while Betty's booking was with free cancellation.
 - (2) Alfred booked the room in a weekend while Betty booked the room in a weekday.
 - (3) Alfred booked the room with sea view while Betty booked the room with street view.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2021/DSE/I/03

After graduating from secondary school, Paul considers whether to become a full-time Key Opinion Leader (KOL) in social media channels or to become an e-sports player.

Which of the following will lower Paul's cost of being a full-time KOL after his graduation?

- (1) Paul receives sponsored video equipment for KOL.
 - (2) The e-sports team offers a lower basic salary to Paul.
 - (3) The risk of social media channels being attacked by hackers increases.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2021/DSE/I/0

Because of COVID-19, normal schooling was disrupted. Most schools used video communication software, such as Zoom and Google Meet, to conduct online lessons. Suppose the school campus was reopened and face-to-face lessons were allowed.

Which of the following would be the LEAST important factor for teachers to choose between online lessons and face-to-face lessons?

- A. The risk of contracting COVID-19 for teachers is lower when they conduct online lessons.
- B. Teachers have no idea what their students are doing during online lessons because students may turn off their cameras.
- C. Teachers have already spent a lot of time learning how to use the video communication software to conduct online lessons.
- D. The eyesight of teachers may be worsened by the intensive use of the video communication software in conducting online lessons.

2022/DSE/I/02

Sony launched the 'PlayStation 5' game console. As it was popular among game players, long queues were found outside the shops after the official release.

Which of the following would increase the opportunity cost of buying a 'PlayStation 5' console?

- A. The resale value of 'PlayStation 5' increased due to its shortage.
- B. Retailers provided online purchase service to eliminate the queues outside the shops.
- C. With the same price, its competitor launched a new game console featuring better performance than 'PlayStation 5'.
- D. The government issued electronic consumption coupons, which can be used to purchase game consoles.

2022/DSE/I/03

Tommy is planning for his future after his S.6 graduation. He has several options and his order of preference is as follows.

- | | |
|----------------|--------------------------------------|
| First option: | Being a barista in a café |
| Second option: | Being a trainee in digital marketing |
| Third option: | Being a junior fireman |

Which of the following factors would **LEAST** likely affect the cost-benefit analysis for Tommy's career choice?

- A. Coffee culture becomes more popular.
- B. More companies expand their digital marketing departments.
- C. The remuneration of junior firemen worsens.
- D. Safety measures of fire-fighting are improved drastically.

2023/DSE/I/01

Mr Cheung bought restaurant premises 2 years ago for \$5 000 000 and sells 'two-dish-rice' meal boxes at the premises. Recently, his monthly profit has decreased from \$30 000 to \$10 000 due to the opening of new restaurants nearby. A businessman offers to rent Mr Cheung's restaurant premises for a monthly rental of \$15 000.

Which of the following would be included in Mr Cheung's opportunity cost of continuing to operate his 'two-dish-rice' business at the premises?

- A. the \$5 000 000 purchase price of the restaurant premises
- B. the \$10 000 monthly profit
- C. the \$15 000 monthly rental
- D. the \$20 000 drop in monthly profit

2023/DSE/I/02

Jacky, a Secondary 6 student in Hong Kong, is going to travel to Korea for his graduation trip.

Which of the following will decrease his cost of having the graduation trip to Korea?

- A. Hong Kong dollar appreciates against South Korean Won.
- B. The return flight from Korea to Hong Kong is delayed.
- C. The number of confirmed cases of COVID-19 in Korea has increased drastically.
- D. The services of the hotel in Korea are better than his expectation.

2024/DSE/I/01

Mr Chan lives in his own apartment which is worth \$8 000 000. He can sell the apartment and deposit the \$8 000 000 in a bank at an interest rate of 5% per year. He can also rent out the apartment at \$25 000 a month.

Based on the above information, which of the following statements are correct?

- (1) When the market value of his apartment increases, the opportunity cost for Mr Chan to live in his own apartment will not be affected.
 - (2) When the deposit interest rate increases, the opportunity cost for Mr Chan to live in his own apartment will increase.
 - (3) When the rental value of his apartment increases, the opportunity cost for Mr Chan to live in his own apartment may increase.
- A. (1) and (2) only
B. (1) and (3) only
C. (2) and (3) only
D. (1), (2) and (3)

2025/DSE/I/01

Susan planned to watch a concert and bought a ticket of the concert for \$1 500. Soon after Susan bought the ticket, a company offered to pay her \$3 000 for a part-time job. However, the work hours of the part-time job clashed with the time of the concert. At the same time, as all tickets were sold out, her friend offered to buy her concert ticket for \$1 800.

Based on the above information, at the time when Susan was deciding whether to sell the concert ticket to her friend, her opportunity cost of choosing to watch the concert would be _____.

- A. \$3 300
B. \$4 500
C. \$4 800
D. \$6 300

Short & Structured Questions

1990/CE/1/(a)(i)

Mrs Wong is a lawyer and is also good at doing housework, but she employs a Filipino maid to do her housework. In terms of opportunity cost, explain why Mrs. Wong employs a Filipino maid instead of being a full-time housewife. (5 marks)

1990/CE/1/4/(c)(i)

The U.S.A. imposes quotas on garments imported from Hong Kong. The Hong Kong government allocates the quotas free of charge to some firms. These quotas are transferable at market prices.

Suppose Mr Lee's company obtains quotas from the government. Explain whether the opportunity cost to this company of using these quotas for exports is zero. (4 marks)

1990/CE/1/5/(c)(i)

The government has announced a \$127 billion project for building a new airport at Chek Lap Kok and improving the harbour facilities.

An economist argues that the cost of this project to society is higher than \$127 billion. Give **TWO** reasons to support his argument. (4 marks)

1991/CE/1/2(a)

(i) Define 'opportunity cost' and 'occupational mobility'. (4 marks)

(ii) In terms of cost, explain why medical doctors in Hong Kong seldom change their occupation. (5 marks)

1993/CE/1/5/(a)

Mr. Chan owns a flat in Mongkok. The following is his order of preference of ways to use his flat:

First choice: live in his flat Second choice: rent it to a tenant Third choice: leave it vacant

In terms of opportunity cost, explain whether the costs of the second and third choices are the same for Mr. Chan. (4 marks)

1995/CE/1/10/(a)(i)

Study the following piece of news reported in the USA:

A local singer has volunteered to perform two identical shows and the sales receipt of the concert tickets will be donated to the Rwanda refugees in Africa for their food and medical supply expenses
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(I) Define opportunity cost. (2 marks)

(II) Explain with an example why the singer had an opportunity cost in performing the shows. (2 marks)

(III) List **TWO** possible benefits to the singer arising from the performance. (2 marks)

1996/CE/1/1

John has 2 options as to how to spend an afternoon: he can either go to a concert or go to a karaoke lounge with his friends. Explain whether John's opportunity cost of going to the karaoke lounge would change if

(a) the concert was very boring; (2 marks)

(b) the service of the karaoke lounge was very poor. (2 marks)

1997/CE/1/11(b)

Suppose Mr. A runs his restaurant in his own premises.

Explain with an example when Mr. A's opportunity cost of using the premises for the restaurant business would increase.

(3 marks)

1998/CE/1/1

David can choose to study in one of three streams in Form 4. His order of preference is shown below:

First preference: Arts stream Second preference: Business stream Third preference: Science stream

(a) Define opportunity cost. (2 marks)

(b) Suppose the business stream is now not offered in David's school. Explain how David's opportunity cost of choosing the Arts stream would change. (3 marks)

1999/CE/1/1

David wants to spend \$8 to buy a pack of sandwiches or a bowl of noodles from an unlicensed hawkker. Explain the effect on David's opportunity cost of buying the sandwiches if a cockroach is found inside the noodle soup. (3 marks)

2000/CE/1/10(b)(ii)

Suppose Bank X of economy A takes over Bank Y of economy B by buying up its controlling share worth \$5 million.

(i) Define opportunity cost. (2 marks)

(ii) Assume Bank X does not know that Bank Y has a huge amount of hidden debt. Explain whether this would affect the opportunity cost of the takeover to Bank X. (3 marks)

2001/CE/1/10(d)

Paul's order of preference of using his money is shown below:

First preference:	purchase of gold coins
Second preference:	savings in banks
Third preference:	investment in stocks

Suppose an interest tax is imposed on bank deposits. Explain whether Paul's opportunity cost of purchasing gold coins would change. (4 marks)

2002/CE/1/10(c)

Suppose some large banks reduce their deposit interest rates while some small banks increase their deposit interest rates.

Use the concept of opportunity cost to explain how this would affect the flow of deposits between the above two types of banks. (4 marks)

2004/CE/1/2

Mr Chan and Mr Lee are secondary school teachers. They earn the same salary of \$30 000 a month

(a) Define opportunity cost. (2 marks)

(b) Explain whether Mr Chan's and Mr Lee's opportunity cost of being a teacher would *definitely* be the same. (2 marks)

(c) Explain whether the opportunity cost of quitting their jobs as teachers would *definitely* be the same. (3 marks)

Microeconomics by Topic
I. Basic Concepts

2005/CE/I/9

- (b) (ii) Explain how an increase in traffic congestion in the Cross Harbour Tunnel would affect the opportunity cost to its users of crossing the harbour. (2 marks)
- (c) Explain whether the opportunity cost of crossing the harbour would *definitely* be the same to every user of the Cross Harbour Tunnel when there is traffic congestion. (3 marks)

2006/CE/I/2

Steven is choosing between studying law or medicine at a university to pave way for his future career. Explain whether his cost of choosing to study law at a university would be affected if

- (a) the expected salary of jobs in the legal services sector falls. (2 marks)
- (b) the expected salary of jobs in the medical services sector falls. (2 marks)

2007/CE/I/10(c)

A large number of departing passengers were delayed at the airport in Hong Kong during a typhoon. Suppose they were delayed 24 hours on average.

- (i) Explain whether their opportunity cost of that visit to Hong Kong would have changed as a result of the delay. (2 marks)
- (ii) During that 24 hours, passengers were either waiting in the airport or had free hotel accommodation arranged for them. Explain whether your answer in (c)(i) depends on which situation they were in. (2 marks)

2008/CE/I/9(b)(i)

The stock market of an economy is overheated. Many people withdraw money from their bank deposits to buy shares.

Two measures are suggested to cool down the overheated stock market. Explain, respectively, whether the opportunity cost of choosing to invest in shares instead of depositing money with banks would change when

- (1) the deposit interest rate of banks is raised.
- (2) the government imposes a tax on the capital gains from trading of shares. (6 marks)

2009/CE/I/1

Last summer, Mary and John each bought a \$20 Olympic memorial banknote. Each of them had to pay \$138 and queue up for a whole day for the purchase.

- (a) Define opportunity cost. (2 marks)
- (b) "Mary's opportunity cost of purchasing the Olympic memorial banknote would be the same as John's." Explain whether this statement is *definitely* correct. (2 marks)

2010/CE/I/11(c)

As the interest earnings from depositing money with banks are close to zero, some investors choose between investment in shares and investment in property.

- (i) Explain with an example when the opportunity cost of choosing to invest in shares would increase. (3 marks)
- (ii) Explain whether the opportunity cost of choosing to invest in shares would change when the amount of dividends decreases. (2 marks)

2013/DSE/II/9(c)

The following is an extract from a local newspaper article.

The MTR Corporation raised the railway fares by 5.4% in 2012. This increase was based on the Fare Adjustment Mechanism set by the government. To respond to the discontent of the public over the fare increase, the Corporation introduced a concessionary measure "Ride 10 Get 1 Free".

It was observed that there were queues of passengers redeeming the free tickets at customer service counters in MTR station. Suppose the waiting time is the same for these passengers, is the cost of redeeming the free tickets *necessarily* the same to these passengers? Explain. (3 marks)

2014/DSE/II/1

Serine is a university graduate who is seeking a job. She has several options and her order of preference is shown below:

- First preference: to work for the government as an administrative officer
- Second preference: to work in an accounting firm as a trainee
- Third preference: to continue to seek a job without accepting any offers

Analyse whether Serine's opportunity cost of choosing to work as an administrative officer will *necessarily* remain unchanged if

- (a) the government reduces the starting salary of administrative officers. (2 marks)
- (b) the government provides unemployment benefits for all graduates seeking jobs. (3 marks)

2015/DSE/II/1(b)

More and more famous universities offer "massive open online courses" (MOOC) to students from various backgrounds for systematic learning.

Some people prefer to take free MOOC while others prefer to take paid courses conducted on the university campus. If the courses are with the same contents and number of teaching hours, will the cost for a person to take a free MOOC be *necessarily* lower than the cost for another person to take a paid on-campus course? Explain. (3 marks)

2016/DSE/II/1

Apple Inc. launches a new model of smartphone. In order to buy the new model, some people spend hours in trying to login the website of Apple Inc. If the resale value of the new model falls, the opportunity cost of buying the new model through the website of Apple Inc. will decrease. Do you agree? Explain your answer. (3 marks)

2017/DSE/II/1

Serine is working in the Hong Kong branch of a multinational firm. She is considering the next step in her career. She has several options and her order of preference is as follows:

- First option: to work in a firm located in South Korea
- Second option: to switch to a local firm without overtime work
- Third option: to stay in the current firm

Explain whether the opportunity cost of *switching to the local firm without overtime work* will *necessarily* remain unchanged

- (a) if the military threat from North Korea to South Korea becomes more intense. (2 marks)
- (b) if she wants to enjoy more leisure time. (3 marks)

2018/DSE/II/1

Although air ticket fares and hotel rates are usually higher during holiday periods, many people still travel abroad. Explain, in terms of opportunity cost, why it is *not necessarily* more expensive for travellers to travel abroad during holiday periods than non-holiday periods. (3 marks)

2019/DSE/I/01

A country considers acquiring more land by reclamation for building residential flats. Explain whether the opportunity cost of land reclamation will change if

- the maximum height of the buildings on the reclaimed land is limited to two storeys due to technical reasons.
- there is a shortage of the materials for land reclamation.

2022/DSE/I/10(f)

The Olympic Games attract billions of international television viewers to watch the competitions among thousands of top athletes.

Professional athletes usually start their full-time training before graduating from secondary school and have to give up their studies.

- Will the opportunity cost of being a professional athlete be affected if the average income of professional athletes increases? Explain. (2 marks)

2023/DSE/I/11(c)

In Hong Kong, fans of popular singers often complain that they are unable to buy concert tickets of their idols at the official prices.

a housewife 	I queued up at the official ticketing office for 10 hours as expected. I was finally able to buy a ticket!
a concert organiser 	Had we known that the fans were so supportive, we would have held more shows for the concert. This would help reduce the average cost per show.

- Refer to the interview of the housewife. Explain, in terms of opportunity cost, why she chose to buy the concert ticket at the official ticketing office instead of buying from touts. (3 marks)

2024/DSE/I/12(c)

Since the 2010s, the government of Saudi Arabia has been actively promoting football development.

- Ahmed, an unemployed youngster in Saudi Arabia, is considering whether he should stop seeking jobs and enrol in a full-time training programme of a football academy. His order of preference is as follows:

First option:	to enrol in a training programme of Football Academy A
Second option:	to enrol in a training programme of Football Academy B
Third option:	to continue seeking jobs

Suppose Football Academy B offers a scholarship to Ahmed. Explain whether the opportunity cost for Ahmed to continue seeking jobs would necessarily remain unchanged. (3 marks)